

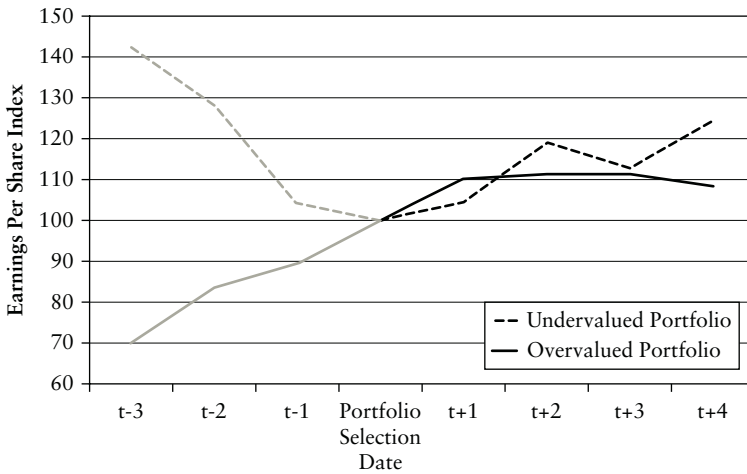


FIGURE 5.3 Change in Average Earnings Per Share for Undervalued and Overvalued Portfolios (1926 to 1983)

Source: Eyquem Investment Management LLC using data from Werner F.M. DeBondt and Richard H. Thaler. “Further Evidence on Investor Overreaction and Stock Market Seasonality?” *Journal of Finance* 42 (3) (1987): 557–581.

portfolios in the three years leading up to the selection date and in the four years following the selection date.

Figure 5.3 demonstrates that earnings grew faster for the Undervalued portfolio after the selection date than they did for the Overvalued portfolio. The stocks in the Undervalued portfolio, which had seen earnings fall 30 percent in the preceding three years, saw earnings increase 24.4 percent in the following four years. Again and by contrast, the stocks in the Overvalued portfolio, which had seen earnings growing rapidly—up 43 percent in the preceding three years—saw earnings growth continue over the following four years, but at a much lower rate, an anemic 8.2 percent cumulative gain. Like the stocks in the Winner portfolio, the Overvalued portfolio failed to deliver on its promise of a high rate of earnings growth, which had been implied by the growth in earnings in the three years leading up to the selection date. The Undervalued portfolio delivered the better *earnings* performance. The differential in growth was also reflected in the performance of each portfolio. The Undervalued portfolio delivered a cumulative average return over the four years following the selection date of 40.7 percent *in excess of the market*. Meanwhile, the stocks in the Overvalued portfolio returned 1.3 percent *less* than the market over the same four years. These are striking results.